



Company Registration Number-PV/PB 13254 PQ

INTERIM FINANCIAL STATEMENTS

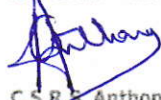
**FOR THE TWELVE MONTHS ENDED
31ST MARCH 2020
(Fourth Quarter)**

JETWING SYMPHONY PLC
STATEMENT OF FINANCIAL POSITION

	GROUP		COMPANY	
	Unaudited 31.03.2020 Rs.'000	Audited 31.03.2019 Rs.'000	Unaudited 31.03.2020 Rs.'000	Audited 31.03.2019 Rs.'000
AS AT				
ASSETS				
Non - Current Assets				
Property, Plant and Equipment	9,340,934	8,987,612	-	-
Prepaid Lease Rent	-	47,049	-	-
Intangible Assets	582,529	582,926	-	-
Right of Use Assets	88,297	-	-	-
Deferred Tax Assets	7,689	-	-	-
Investment in Subsidiary	-	-	5,469,233	5,419,233
Other Investments	813	885	-	-
	10,020,262	9,618,472	5,469,233	5,419,233
Current Assets				
Inventories	54,129	59,499	-	-
Trade and Other Receivables	191,410	257,213	7,817	61,811
Income Tax Receivable	950	536	-	-
Other Current Financial Assets	1,647	182,310	-	5,000
Cash at Bank and in Hand	96,154	49,530	748	665
	344,290	549,088	8,565	67,476
Total Assets	10,364,552	10,167,560	5,477,798	5,486,709
EQUITY AND LIABILITIES				
Equity Attributable to equity holders of the Parent				
Stated Capital	5,509,276	5,509,276	5,509,276	5,509,276
Revaluation Reserve	994,246	934,175	-	-
Retained Earnings/ (Losses)	(1,575,798)	(1,124,390)	(33,326)	(32,552)
	4,927,724	5,319,061	5,475,950	5,476,724
Non Controlling Interest	14,309	21,434	-	-
Total Equity	4,942,033	5,340,495	5,475,950	5,476,724
Non-Current Liabilities				
Interest-bearing Loans & Borrowings	3,093,772	2,233,775	-	-
Post-Employment Benefit Liability	41,925	30,516	-	-
Deferred Tax liability	249,322	247,390	-	-
	3,385,019	2,511,681	-	-
Current Liabilities				
Current portion of Interest-bearing Loans & Borrowings	1,717,862	2,043,566	-	-
Trade and Other Payables	319,475	263,229	1,775	2,284
Income Tax Payable	163	8,589	73	7,701
	2,037,500	2,315,384	1,848	9,985
Total Liabilities	5,422,519	4,827,065	1,848	9,985
Total Equity and Liabilities	10,364,552	10,167,560	5,477,798	5,486,709

The Statement of Financial Position as at 31st March 2020, the Statement of Profit or Loss, the Statement of other Comprehensive Income, the Statement of Changes in Equity and Cash Flow Statement for the twelve months then ended as well as the Statement of Profit or Loss and the Statement of other Comprehensive Income for the three months are drawn up from the unaudited financial statements of the Group/Company and they provide the information required by the Colombo Stock Exchange.

It is certified that the financial statements have been prepared in compliance with the requirements of the Companies Act No.7 of 2007.



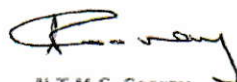
C.S.R.S. Anthony
Director - Jetwing Hotels Ltd, Managing Agents

The Board of Directors is responsible for these financial statements. Signed for and on behalf of the Board by.



N.J.H.M. Cooray
Chairman

Colombo
29th May 2020



N.T.M.S. Cooray
Director

JETWING SYMPHONY PLC
STATEMENT OF PROFIT OR LOSS - GROUP

	12 MONTHS ENDED			03 MONTHS ENDED		
	Unaudited	Audited	Variance Favourable/ (Unfavourable)	Unaudited	Unaudited	Variance Favourable/ (Unfavourable)
	31.03.2020 Rs.'000	31.03.2019 Rs.'000		31.03.2020 Rs.'000	31.03.2019 Rs.'000	
Revenue	1,525,016	1,911,321	-20%	452,835	608,145	-26%
Cost of Sales	(284,957)	(315,998)	10%	(76,604)	(97,915)	22%
Gross Profit	1,240,059	1,595,323	-22%	376,231	510,230	-26%
Other Income & Gains	8,670	15,457	-44%	5,729	3,914	46%
Marketing & Promotional Expenses	(57,352)	(73,789)	22%	(13,055)	(19,571)	33%
Administrative Expenses	(842,220)	(888,562)	5%	(223,918)	(250,206)	11%
Profit from Operations	349,158	648,429	-46%	144,987	244,367	-41%
Depreciation & Amortisation	(323,472)	(327,879)	1%	(83,026)	(83,326)	0%
Finance Expenses	(422,237)	(457,605)	8%	(102,031)	(119,877)	15%
Finance Income	7,426	21,460	-65%	1,027	6,595	-84%
Exchange Gain/(Loss) from Conversion of Foreign Currency Loan	(74,803)	(155,656)	52%	(42,589)	44,061	-197%
Profit/(Loss) Before Tax	(463,928)	(271,251)	-71%	(81,632)	91,820	-189%
Income Tax Expenses	4,138	(9,337)	144%	10,970	(2,583)	525%
Profit/(Loss) for the Period	(459,790)	(280,588)	-64%	(70,662)	89,237	-179%
Attributable to:						
Equity holders of the Parent	(452,627)	(279,457)		(70,742)	(85,986)	
Non-controlling Interest	(7,163)	(1,131)		80	(3,252)	
	(459,790)	(280,588)		(70,662)	89,237	
Basic earnings per share for the period (Rs.)	(0.90)	(0.56)		(0.14)	(0.17)	

Notes

1. Stated capital issued and fully paid
(502,188,559 Ordinary Shares)

5,509,276 **5,509,276**

5,509,276

5,509,276

2. Figures in brackets indicate deductions

JETWING SYMPHONY PLC
STATEMENT OF PROFIT OR LOSS - COMPANY

	12 MONTHS ENDED			03 MONTHS ENDED		
	Unaudited	Audited	Variance Favourable/ (Unfavourable)	Unaudited	Unaudited	Variance Favourable/ (Unfavourable)
	31.03.2020 Rs.'000	31.03.2019 Rs.'000		31.03.2020 Rs.'000	31.03.2019 Rs.'000	
Revenue	-	-		-	-	-
Cost of Sales	-	-		-	-	-
Gross Profit	-	-		-	-	-
Other Income & Gains	548	10,727	-95%	-	788	-100%
Marketing & Promotional Expenses	-	-	-	-	-	-
Administrative Expenses	(4,754)	(6,551)	27%	(1,153)	(1,516)	24%
Profit from Operations	(4,206)	4,176	-201%	(1,153)	(728)	-58%
Finance Cost	(0)	(8)	98%	-	-	-
Finance Income	4,701	19,135	-75%	191	4,780	-96%
Profit/(Loss) Before Tax	495	23,303	-98%	(962)	4,052	-124%
Income Tax Expenses	(1,269)	(8,361)	85%	(6)	(1,560)	100%
Profit/(Loss) for the Period	(774)	14,942	-105%	(968)	2,492	-139%
Basic earnings per share for the period (Rs.)	(0.002)	0.030		(0.002)	0.005	

Notes

1. Stated capital issued and fully paid
(502,188,559 Ordinary Shares)

5,509,276

5,509,276

5,509,276

5,509,276

2. Figures in brackets indicate deductions

JETWING SYMPHONY PLC
STATEMENT OF OTHER COMPREHENSIVE INCOME - GROUP

	12 MONTHS ENDED		03 MONTHS ENDED	
	Unaudited	Audited	Unaudited	Unaudited
	31.03.2020 Rs.'000	31.03.2019 Rs.'000	31.03.2020 Rs.'000	31.03.2019 Rs.'000
Net Profit/(Loss) for the period	(459,790)	(280,588)	(70,662)	89,238
Other Comprehensive Income				
<i>Other Comprehensive Income to be reclassified to Statement of Profit or Loss in subsequent periods :</i>				
Gain/(Loss) on FVTOCI Financial Instruments	548	10,687	-	68
Reclassification adjustments for Gains included in the Statement of Profit or Loss	(548)	(11,011)	-	(794)
<i>Other Comprehensive Income not to be reclassified to Statement of Profit or Loss in subsequent periods :</i>				
Actuarial gain/(Loss) on Post-Employment Benefit Liabilities	1,462	1,051	1,462	1,051
Deferred Tax on Actuarial Gain/ Loss	(205)	-	(205)	-
Revaluation Surplus of Freehold Land	69,850	260,875	69,850	260,875
Deferred Tax on Revaluation Surplus	(9,779)	(36,522)	(9,779)	(36,522)
Other Comprehensive Income/(Loss) for the Period	61,328	225,080	61,328	224,678
Total Comprehensive Income/(Loss) for the Period	(398,462)	(55,508)	(9,334)	313,916
Attributable to:				
Equity holders of the Parent Company	(391,337)	(54,399)	(9,452)	310,640
Non-controlling Interest	(7,125)	(1,109)	118	3,275
	(398,462)	(55,508)	(9,334)	313,915

JETWING SYMPHONY PLC
STATEMENT OF OTHER COMPREHENSIVE INCOME - COMPANY

	12 MONTHS ENDED		03 MONTHS ENDED	
	Unaudited	Audited	Unaudited	Unaudited
	31.03.2020 Rs.'000	31.03.2019 Rs.'000	31.03.2020 Rs.'000	31.03.2019 Rs.'000
Net Profit/(Loss) for the period	(774)	14,942	(968)	2,492
Other Comprehensive Income				
<i>Other Comprehensive Income to be reclassified to Statement of Profit or Loss in subsequent periods :</i>				
Gain/(Loss) on FVTOCI-Financial Instruments	548	10,409	-	293
Reclassification adjustments for Gains included in the Statement of Profit or Loss	(548)	(10,727)	-	(788)
Other Comprehensive Income/(Loss) for the Period	-	(318)	-	(495)
Total Comprehensive Income/(Loss) for the Period	(774)	14,624	(968)	1,997

JETWING SYMPHONY PLC
STATEMENT OF CHANGES IN EQUITY - GROUP

	ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT						Non-Controlling Interest Rs.'000	Total Equity Rs.'000
	Stated Capital Rs.'000	Available for Sale Reserve Rs.'000	Fair Value Reserve Rs.'000	Revaluation Reserve Rs.'000	Retained Earnings Rs.'000	Total Rs.'000		
Balance as at 31st March 2018	5,509,276	(495)	-	709,822	(845,143)	5,373,460	22,543	5,396,003
Effect of adopting new accounting standards	-	495	324	-	(819)	-	-	-
Balance as at 1 April 2018 (Restated)	5,509,276	-	324	709,822	(845,962)	5,373,460	22,543	5,396,003
Profit / (Loss) for the period	-	-	-	-	(279,457)	(279,457)	(1,131)	(280,588)
Other Comprehensive Income/(Loss)	-	-	(324)	224,353	1,029	225,058	22	225,080
Total Comprehensive Income/(Loss)	-	-	(324)	224,353	(278,428)	(54,399)	(1,109)	(55,508)
Balance as at 31st March 2019	5,509,276	-	-	934,175	(1,124,390)	5,319,061	21,434	5,340,495
Balance as at 1 April 2019	5,509,276	-	-	934,175	(1,124,390)	5,319,061	21,434	5,340,495
Profit / (Loss) for the Period	-	-	-	-	(452,627)	(452,627)	(7,163)	(459,790)
Other Comprehensive Income	-	-	-	60,071	1,219	61,290	38	61,328
Total Comprehensive Income	-	-	-	60,071	(451,408)	(391,337)	(7,125)	(398,462)
Balance as at 31st March 2020	5,509,276	-	-	994,246	(1,575,798)	4,927,724	14,309	4,942,033

JETWING SYMPHONY PLC
STATEMENT OF CHANGES IN EQUITY - COMPANY

	Stated Capital Rs.'000	Available for Sale Reserve Rs.'000	Fair Value Reserve Rs.'000	Retained Earnings Rs.'000	Total Rs.'000
Balance as at 31st March 2018	5,509,276	318	-	(47,494)	5,462,100
Impact from the application of SLFRS 9	-	(318)	318	-	-
Balance as at 1 April 2018 (Restated)	5,509,276	-	318	(47,494)	5,462,100
Profit/ (Loss) for the Period	-	-	-	14,942	14,942
Other Comprehensive Income	-	-	(318)	-	(318)
Total Comprehensive Income	-	-	(318)	14,942	14,624
Balance as at 31st March 2019	5,509,276	-	-	(32,552)	5,476,724
Balance as at 1 April 2019	5,509,276	-	-	(32,552)	5,476,724
Profit / (Loss) for the Period	-	-	-	(774)	(774)
Other Comprehensive Income	-	-	-	-	-
Total Comprehensive Income	-	-	-	(774)	(774)
Balance as at 31st March 2020	5,509,276	-	-	(33,326)	5,475,950

JETWING SYMPHONY PLC
STATEMENT OF CASH FLOWS

FOR THE TWELVE MONTHS ENDED

Cash Flows from Operating Activities

Profit/(Loss) before Tax	(463,928)	(271,251)	495	23,303
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Adjustments for

Dividend Income	(22)	(14)	-	-
Interest Received	(7,426)	(21,446)	(4,701)	(19,135)
Depreciation & Amortization	323,472	327,879	-	-
Finance Costs	422,237	457,605	0	8
(Profit)/Loss on Disposal of Fixed Assets	1,412	(50)	-	-
Capital Gain on Sale of Investments	-	(11,011)	(548)	(10,727)
Exchange (Gain)/Loss on Foreign Currency Loan Conversion	74,803	155,656	-	-
Fair Value gain from Unrealized shares	72	164	-	-
Profit from disposal of other investments	-	(3,719)	-	-
Provision for Retirement Benefit Obligation	9,942	8,406	-	-

Operating Profit/(Loss) before Working Capital Changes	360,562	642,219	(4,754)	(6,551)
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(Increase)/Decrease in Inventories	5,370	(8,563)	-	-
(Increase)/Decrease in Trade and Other Receivables	55,545	(48,360)	6,500	(1,552)
Increase/(Decrease) in Trade and Other Payables	56,246	(13,280)	(516)	296

Cash Generated From/(Used in) Operations	477,723	572,016	1,230	(7,807)
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Income Tax Paid	(10,183)	(1,108)	(8,348)	(870)
Finance Cost Paid	(166,160)	(457,605)	(0)	(8)
Defined Benefit Plan Costs Paid net of transfers	2,929	(718)	-	-

Net Cash From/(Used in) Operating Activities	304,309	112,585	(7,118)	(8,685)
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Cash Flows From/(Used in) Investing Activities

Acquisition of Property, Plant and Equipment	(614,110)	(210,698)	-	-
Acquisition of Intangible assets	-	(533)	-	-
Net Investment in fixed deposits	175,000	(175,000)	-	-
Proceeds from Sale of Property, Plant and Equipment	6,075	4,886	-	-
Short Term Loans (Granted)/settled	-	-	47,500	(60,000)
Proceeds from Redemption of Units	-	454,381	-	415,992
Investment in Unit Trust	-	(93,500)	-	(61,500)
Interest Received	7,426	21,446	4,701	19,135
Dividends Received	22	14	-	-
Proceeds From sale of other investments	-	5,735	-	-
Investment in Subsidiaries net of cash acquired	-	-	(50,000)	(300,000)

Net Cash Flows From/(Used in) Investing Activities	(425,587)	6,731	2,201	13,627
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Cash Flows From/(Used in) Financing Activities

Repayment of Finance Lease	(5,499)	(896)	-	-
Proceeds from Interest bearing borrowings	495,000	103,850	-	-
Repayment of Interest bearing borrowings	(212,616)	(706,303)	-	-
Cost of Issue of Shares	-	(59)	-	(59)
Proceeds received from Grants	275	200	-	-

Net Cash Flows From /(Used in) Financing Activities	277,160	(603,208)	-	(59)
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Net Increase/(Decrease) in Cash & Cash Equivalents	155,882	(483,891)	(4,917)	4,883
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Cash and Cash Equivalents at the beginning of the period	(1,206,723)	(722,832)	5,665	782
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Cash and Cash Equivalents at the end of the period	(1,050,841)	(1,206,723)	748	5,665
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Cash and Bank Balance	96,154	49,530	748	665
Short Term Deposit	1,647	7,310	-	5,000
Bank Overdraft	(1,148,642)	(1,263,563)	-	-
Cash and Cash Equivalents at the end of the period	(1,050,841)	(1,206,723)	748	5,665

JETWING SYMPHONY PLC
INVESTOR INFORMATION

	31.03.2020	31.03.2019
Market Value of Shares	(Rs.)	(Rs.)
Last Traded price on	8.50	9.70
Highest price recorded for the three months ending	11.50	12.00
Lowest price recorded for the three months ending	8.50	9.50
Highest price recorded for the Twelve months ending	13.00	15.00
Lowest price recorded for the Twelve months ending	8.50	9.50
Market Capitalisation (Rs.Mn.)	4,269	4,871

Ratios

Net assets per share	9.81	10.59
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Share trading for the Twelve months ended

Number of transactions	593	441
Number of shares traded	905,746	23,080,813
Value of shares traded (Rs.)	9,618,000	267,828,257

Twenty Largest Shareholders as at 31st March 2020

Name of Shareholder	No. of Shares as at 31.03.2020	%
01. Jetwing Travels (Pvt) Ltd	93,767,471	18.67
02. R.O.K. International Holdings Ltd	90,909,091	18.10
03. Blue Oceanic Beach Hotel (Pvt) Ltd	66,214,150	13.19
04. Employees Provident Fund	35,454,545	7.06
05. Mr. N.J.H.M. Cooray	34,747,339	6.92
06. Ms. N.T.M.S. Cooray	32,866,324	6.54
07. N.J. Cooray Builders (Pvt) Ltd	29,088,096	5.79
08. Amaliya Private Limited	25,109,400	5.00
09. Mr L.Weinman	22,727,273	4.53
10. RMP Partners Ltd	11,505,676	2.29
11. Jetwing Hotels Management Services (Pvt) Ltd	5,562,059	1.11
12. St. Andrew's Hotel (Pvt) Ltd	5,100,000	1.02
13. Seylan Bank PLC. - A/C NO. 3	3,328,749	0.66
14. Mr. N.J.D.M. Cooray	3,286,997	0.65
15. Mr. N.H.V. Perera	3,186,609	0.63
16. Nilaveli Beach Hotels (Pvt) Limited	3,102,755	0.62
17. Mr. N.J.H.Cooray	2,861,439	0.57
17. Mr. N.A.H.Cooray	2,861,439	0.57
17.Mr. G.R.Cooray Arasaratnam	2,861,439	0.57
20. Capital Alliance Holdings Ltd	2,209,150	0.44
TOTAL	474,540,851	94.93

There were no non voting shares as at 31 March 2020

18.43% of the issued capital of the company was held by the public, comprising of 664 shareholders and a float adjusted market capitalisation of LKR 786,703,487 as at 31st March 2020. In terms of Rule 7.13.1.(b) of the listing rules of the Colombo Stock Exchange, the Company qualifies under option 2 of the minimum public holding requirement.

JETWING SYMPHONY PLC
INVESTOR INFORMATION

Directors' Shareholding

Directors	Directors' Direct Shareholding as at 31.03.2020
Mr. N.J.H.M. Cooray	34,747,339
Ms. N.T.M.S. Cooray	32,866,324
Mr. N. Wadugodapitiya	25,000
Ms. K.K. Reddy	-
Dr. V.J. Kannangara	-
Mr. L.K. Porter	-
Mr. G. Rocchi	-
Ms. T.M.J.Y.P. Fernando	-
Mr.S. D. Amalean	-

There has been no change in the Directors' direct shareholding during the 12 months ended 31 March, 2020 other than the transfer of shares held by Mrs A.M.J Cooray as a gift to:

	No of Shares
Mr N.J.H.M Cooray	13,687,028
Ms N.T.M.S Cooray	13,687,027

Note* - The Ordinary shares of the Company were listed in the Colombo Stock Exchange on 05th January 2018

1. Principal Activities and Nature of Operations

Jetwing Symphony PLC is the holding company that owns, directly and indirectly, investments in a number of companies that are involved in the business of hoteliering.

2. Approval of Financial Statements

The interim financial statements of the Group and the Company for the year ended 31st March 2020 were authorized for issue by the Board of Directors on 29th May 2020.

3. Basis of Preparation

The interim financial statements have been prepared in accordance with the Sri Lanka Accounting Standard (LKAS) 34- Interim financial reporting.

3.1 Going Concern

In determining the basis of preparing the financial statements for the year ended 31 March, 2020, based on available information, the management has assessed the existing and anticipated effects of COVID 19 on the Group Companies and the appropriateness of the use of the going concern basis. The Group evaluated the resilience of its businesses under multiple scenarios: worst case, base case and best case, by considering a wide range of factors relating to expected revenue streams, cost management, profitability, the ability to defer non-essential capital expenditure, debt repayment schedules, if any, cash reserves and potential sources of financing facilities, if required and the ability to continue providing services to ensure business continue as least impacted as possible.

Having evaluated each company of Jetwing Symphony Group by the Board of Directors, and after due consideration of the range and likelihood of outcomes, the Directors are satisfied that the Company and its subsidiaries have adequate resources to continue in operational existence for the foreseeable future and continue to adopt the going concern basis in preparing and presenting these interim financial statements.

4. Changes in Accounting Policies

These interim financial statements have been prepared in accordance with the accounting policies set out in the Annual Report for the year ended 31.03.2019 except for the adoption of new standards effective as of 1st April 2019;

4.1 New and amended standards and interpretations

The following are the new significant accounting policies applied by the Group in preparing its Financial Statements. Several other amendments and interpretations apply for the first time in financial year 2019/20, but do not have an impact on the consolidated financial statements of the Group. The Group has not early adopted any standards, interpretations or amendments that have been issued, but are not yet effective.

- SLFRS 16 Leases

The Group applies, for the first time, SLFRS 16 Leases. As required by LKAS 34, the nature and effect of these changes are disclosed below:

SLFRS 16 supersedes LKAS 17 Leases, IFRIC 4 Determining whether an Arrangement contains a Lease, SIC 15 Operating Leases – Incentives and SIC 27 Evaluating the Substance of Transactions involving the legal form of a lease. The standard sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for most leases under a single on-balance sheet model. The Group has adopted SLFRS 16 using modified retrospective method from 1st April 2019, without restating comparatives for the 2018/19 reporting period, as permitted under the specific transitional provisions in the standard.

NOTES TO THE INTERIM FINANCIAL STATEMENTS FOR THE TWELVE MONTHS ENDED 31ST MARCH 2020

The effect of adoption of SLFRS 16 as at 1 April 2019 (increase/(decrease)) is as follows:

Assets	Rs'000
Property, Plant & Equipment	(1,749)
Right of use assets	83,146
Prepaid lease rent	(47,049)
Total Assets	34,347
Liabilities	
Interest bearing loans and borrowings	34,347
Total Liabilities	

a) Nature of the effect of adoption of SLFRS 16

The Group has lease contracts for items such as lands and vehicles. Land leases are the major asset included in the right of use assets category, typically made for about 30 years of lease term and have extension options.

Leases previously classified as leasehold properties and pre-paid operating leases

For leases previously classified as prepaid lease rent, the Group recognized the carrying amount of the lease asset immediately before transition as the carrying amount of the right of use asset. The requirements of SLFRS 16 were applied to these leases from 1st April 2019.

Leases previously classified as finance leases

For leases that were classified as finance leases under LKAS 17, the carrying amount of the right-of-use asset and the lease liability at 1 April 2019 are determined at the carrying amount of the lease asset and lease liability under LKAS 17 immediately before that date.

Leases classified as operating leases under LKAS 17

At transition, lease liabilities were measured at the present value of the remaining lease payments, discounted at the Group's incremental borrowing rate as at 1 April 2019. Right-of-use assets are measured at either:

- their carrying amount as if SLFRS 16 had been applied since the commencement date, discounted using the lessee's incremental borrowing rate at the date of initial application – the Group applied this approach to its largest property leases; or
- an amount equal to the lease liability, adjusted by the amount of any prepaid or accrued lease payments the Group applied this approach to all other leases.

The lease liabilities as at 1 April 2019 can be reconciled to the operating lease commitments as of 31 March 2019 as follows:

	Rs '000
Operating lease commitments as at 31 March 2019	25,000
Discounted operating lease commitments as at 1 April 2019	30,538
Add:	
Discounted Payments in optional extension periods not recognised as at 31 March 2019	3,809
Lease Liabilities as at 1 April 2019	34,347

NOTES TO THE INTERIM FINANCIAL STATEMENTS FOR THE TWELVE MONTHS ENDED 31ST MARCH 2020

b) Summary of new accounting policies

Set out below are the new accounting policies of the Group upon adoption of SLFRS 16, which have been applied from 1st April 2019:

Right of use assets

The Group recognises right of use assets when the underlying asset is available for use. Right of use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right of use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised right of use assets are depreciated on a straight-line basis over the shorter of its estimated useful life or the lease term. Right of use assets are subject to impairment.

Lease liabilities

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. In calculating the present value of lease payments, the Group uses the incremental borrowing rate at the lease commencement date if the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

Short-term leases and leases of low-value assets

The Group applies the short-term lease recognition exemption to leases that have a lease term of 12 months or less from the commencement date. It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered of low value. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

Amounts recognised in the statement of financial position and income statement set out below, are the carrying amounts of the Group's right of use assets and the movements for the period ended 31 March 2020.

Right of use Assets	Land (Rs '000)	Quarters	Motor Vehicles (Rs '000)	Total (Rs '000)
As at 1st April 2019	74,327	7,070	1,749	83,146
Amortization expenses	(2,486)		-	(2,486)
Depreciation	-	(1,414)	(1,314)	(2,728)
Disposals			(2,106)	(2,106)
Additions			12,472	12,472
As at 31st March 2020	71,840	5,656	10,801	88,297

5. Fair value measurement and related fair value disclosures

The fair values of all the financial assets and financial liabilities recognised during the period were not materially different from the transaction prices at the date of initial recognition. There were no transfers between Level 1 and Level 2 and no transfers into or out of Level 3 categories as per the fair value hierarchy, during the period.

6. There are no significant contingent liabilities as at 31st March 2020, other than the following,

Local authorities have claimed a fee amounting to 1% of turnover for the issuance of trade license for the year 2017 & 2018. The Group does not agree with such claim. The estimated contingent liability as at 31 March 2020 is Rs 21.2 Mn.

7. Information for the Twelve months to 31st March, 2019 has been reclassified to conform with the current presentation where applicable.

8. There are no distinguishable components to be identified as segments for the Company.
9. Six months of the period under review relates to the off-season of the tourism industry in Sri Lanka.

10. Events after the reporting period

No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the Financial Statements other than the following:

The impact of COVID-19 pandemic on our business is unprecedented. The Company understand the importance of the safety measures implemented by world leaders and therefore respectfully accept the current hibernation phase for tourism.

Considering the global economic impact of the virus and its effect on the Group, adjustments have been made to certain reported balances as at 31st March 2020. The Group is closely monitoring the liquidity position of all companies and have requested banks for debt moratoriums and working capital loans as per the Central Bank guidelines, which would give the Company comfort in managing future cashflows of the business.

In addition to managing the financial impact of COVID-19, the Company have also put in place strict guidelines for future hotel operations based on the advice of the World Health Organization and the Ministry of Health and Indigenous Medical Services.

With the ease of the curfew during the daytime and the gradual reanimation of economic activities, we have witnessed a steady recommencement of our operations. While steadily gaining momentum, we are aware of the unpredictable nature of the current climate of the country and the globe and therefore, wish to further observe the impacts and take proactive measures to ensure the smooth functioning of the business. While, abiding by the health guidelines to ensure health and safety, we are eager to welcome our guests back to our hotels to extend our warm hospitality with utmost care.

11. Related Party Disclosures for the 12 months ended 31st March.

Details of the significant related party disclosures are as follows.

	Group		Company	
	2020 Rs.'000	2019 Rs.'000	2020 Rs.'000	2019 Rs.'000
11.1 Transactions with subsidiaries				
Amount Receivable as at 31 March	-	-	7,559	60,683
Nature of Transactions				
Investment made in Subsidiaries	-	-	50,000	300,000
Reimbursement of Expenses	-	-	5	24
Net Loans Granted/(Settled)	-	-	(52,500)	(60,000)
Interest Received	-	-	4,625	1,701
11.2 Transactions with Other Related Parties				

Some Key Management Personnel of the Group/Company and their close members of the families, collectively have control directly or indirectly in certain entities with which the Group entered into the transactions, summarised as follows:

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NOTES TO THE INTERIM FINANCIAL STATEMENTS FOR THE TWELVE MONTHS ENDED 31ST MARCH 2020

	Group		Company	
	2020	2019	2020	2019
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Amount receivable as at 31 March	15,735	8,388	-	6
Amount payable as at 31 March	8,455	18,337	-	-
Nature of Transactions				
Transportation Charges	867	528	-	-
Purchases of Beverage & Others	17,375	31,500	-	-
Sale of Accommodation	35,147	52,922	-	-
Gratuity Transfer (Net)	4,400	375	-	-
Hotel Operation and Marketing Fee	76,452	109,866	-	-
Advertising Expenses and Other Reimbursemen	26,937	30,710	5	30
Laundry Charges	10,960	11,731	-	-
Sale of other items	1,885	1,891	-	-
Support Services	17,651	15,472	-	-
Hotel Development Fee	11,076	2,203	-	-
Purchase of Assets	-	160	-	-
Vehicle Hire Income	396	409	-	-
Investor relations Expenses	-	2,117	-	2,117
Net Investment/(Redemption) in Units	-	360,881	-	354,492
Capital Gain from FVTOCI Investment	-	11,011	-	10,727

11.3 Transactions with Key Management Personnel of the Company or its parent

The key management personnel of the Company are the members of its Board of Directors.

Key Management Personnel Compensation	Group		Company	
	2020	2019	2020	2019
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Executive Directors Fee	-	-	-	-
Non Executive Director's Fee	1,440	1,814	1,440	1,814

11.4 Transactions with Significant Investors

	Group		Company	
	2020	2019	2020	2019
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Amount receivable as at 31 March	26,558	27,368	-	-
Amount payable as at 31 March	106	428	-	-
Transport Expenses	370	1,364	-	-
Advertising Expenses and Other Reimbursemen	1,531	2,487	-	-
Sale of Accommodation	161,214	239,103	-	-
Vehicle Hire Income	17	6	-	-
Sale of other Items	815	484	-	-
Purchases of Beverage & Others	956	412	-	-
Gratuity Transfer	361	-	-	-

11.5 Loan Receivable Related party

	Company	
	2020	2019
	Rs.'000	Rs.'000
Cultural Heritage (Pvt) Ltd	-	10,132
Yala properties (Pvt) Ltd	7,559	50,551
	<u>7,559</u>	<u>60,683</u>

Loans were provided at the rate of AWPLR + Premium p.a

11.6 Terms and Conditions

All related party transactions have been conducted on relevant commercial terms with the respective parties. All related party outstanding balances at the reporting date are unsecured, interest free other than in the case of funding arrangements disclosed in Note 11.5 and are to be settled in cash or its equivalents.

JETWING SYMPHONY PLC

NOTES TO THE INTERIM FINANCIAL STATEMENTS FOR THE TWELVE MONTHS ENDED 31ST MARCH 2020

12. The Company has collected IPO funds LKR 753,282,840/- for the said objectives of the prospectus. Current status of the utilization of the said objectives are listed below:

Objective number	Objective as per Prospectus	Amount allocated as per Prospectus in (LKR Mn)	Proposed date of utilization as per Prospectus	Amount allocated in LKR Mn (A)	% of total proceeds	Amount utilized in LKR Mn (B)	% of utilized against allocation (B/A)	Clarification if not fully utilized including where the funds are invested (eg: whether lent to related party/s etc)
1	Investment in The Riverbank (Private) Limited for project completion	300	January 2018 - July 2019	300	39.8%	300	100%	
2	Investment in Pottuvil Point (Private) Limited for project completion	50	4th quarter FY18	50	6.6%	50	100%	
3	Investment in Cultural Heritage (Private Limited) for the settlement of debt	200	4th quarter FY18	200	26.6%	200	100%	
4	Investment in Jetwing Kaduruketha (Private Limited) for the settlement of debt	150	4th quarter FY18	150	19.9%	150	100%	
5	Financing future investments and working capital requirements	15	January 2018 – March 2019	15	2.0%	6	40%	Unutilized funds have been temporarily granted to wholly owned subsidiary Yala Properties (Pvt) Ltd (Jetwing Yala) at an Interest rate of AWPLR + 0.75%
6	Settlement of IPO costs	38	January 2018 – March 2018	38	5.1%	38	100%	The Company has saved LKR 14 Mn from the initial estimate for IPO costs which has been invested in The Riverbank (Pvt) Ltd.(Jetwing Kandy Gallery).
	Total	753		753		744	99%	

JETWING SYMPHONY PLC

CORPORATE INFORMATION

NAME OF COMPANY	Jetwing Symphony PLC Company Number: PV/PB 13254 PQ
LEGAL FORM	Public quoted Company with Limited Liability incorporated in Sri Lanka in 2007. The ordinary shares of the Company were Listed in the Colombo Stock Exchange on 5th January 2018
BOARD OF DIRECTORS	N.J.H.M.Cooray - Chairman N.T.M.S.Cooray (Ms) K.K. Reddy (Ms) N.Wadugodapitiya Dr. V. Kannangara L.K Porter G. Rocchi Y. Fernando (Ms) S. D. Amalean
SECRETARIES	Corporate Services (Pvt) Ltd 216, De Saram Place Colombo 10. Phone : 4718200
AUDITORS	Messrs Ernst & Young Chartered Accountants 201, De Saram Place Colombo 10.
HOTEL OPERATION & MARKETING	Jetwing Hotels Ltd "Jetwing House" 46/26, Nawam Mawatha Colombo 2. Phone : 4709400 E-mail : reservations@jetwinghotels.com Web : www.jetwinghotels.com
REGISTERED OFFICE	"Jetwing House" 46/26, Nawam Mawatha Colombo 2.